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Using **Brazil: The Hot 'BRIC'**, explain how Brazil is likely to benefit from inward investment by a UK car manufacturer.

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[15 marks]

2.

**The European Union Context Extract F** (lines 14–18) states: 'The EU introduced the Stability and Growth Pact ...in order to prevent individual economies from creating instability across the EU. However, EU member countries have struggled to keep to the pact, with only four member countries not breaking the rules.'

Using the data and your knowledge of economics, evaluate the likely impact on the UK economy of other EU countries attempting to reduce their public sector debt at the same time.

[25 marks]

**3.****THE EUROPEAN UNION CONTEXT****Extract F: Ireland emerges from bailout**

Whilst many of the Eurozone members still face instability in their own economies, Ireland became the first economy to emerge from its bailout since the Eurozone crisis began. In its final report on Ireland's progress under the rescue scheme, the European Commission said: 'With public sector debt at 122% of GDP in 2013, Ireland needs to continue with its fiscal reduction programmes, reduce private-sector debt and improve bank profitability to revive lending.'

1

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Of the UK's top ten European trading partners, Ireland is the only one with which the UK has a current account surplus. The importance of trade with Ireland is therefore of great significance. The Irish and UK economies are highly integrated and it is not yet clear how further cuts in Ireland might impact on the UK's macroeconomic performance.

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Public sector debt across many European nations is still at very dangerous levels and Ireland's debt to GDP ratio is the second highest in the EU. Higher national debts may lead to problems such as crowding out, where private sector investment is reduced due to increased public sector borrowing. The EU introduced the Stability and Growth Pact (limiting total debt as a percentage of GDP to 60% and annual deficits to 3% of GDP) in order to prevent individual economies from creating instability across the EU. However, EU member countries have struggled to keep to the pact, with only four member countries not breaking the rules. Both Ireland and the UK have breached the pact since 2008. No doubt more problems lie ahead for the Eurozone.

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Source: News reports, 2013

**4.**

**The European Union Context Extract E** (lines 8–9) states: 'There's a lack of concern about international competitiveness in France.'

Explain what is meant by 'international competitiveness' **and** analyse how the international competitiveness of France might be improved.

**[9 marks]****5.**

**The Global Context Extract C** (lines 7–9) states: 'These policies, however, have created greater divides in terms of the 'haves' and 'have nots' which may have consequences for the UK's macroeconomic performance.'

Using the data and your knowledge of economics, assess the importance for UK macroeconomic performance of increasing income inequality, **both** domestically **and** in other economies.

**[25 marks]**

6.

## THE EUROPEAN UNION CONTEXT

### Extract E: The French economy faces problems

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| The International Monetary Fund (IMF) has warned the French government that, unless it makes major economic reforms to lower its labour costs and avoid tax rises, the economy is likely to experience reduced growth. This view was echoed in a recent survey of bankers, in which France was identified as the most serious threat to Europe's recovery from the debt crisis which has crippled growth and driven unemployment to record highs. The outlook for France, the Eurozone's second largest economy, is more worrying than that for Italy, Spain or Germany. | 1  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 5  |
| The Chief Executive officer of the Institute of International Finance said: 'There's a lack of concern about international competitiveness in France.' French President, François Hollande, is failing to revive business investment in the face of one of the world's highest tax burdens. Such investment could generate greater efficiency and higher productivity, especially important if the euro's exchange rate does not always work in France's favour.                                                                                                         | 10 |
| An IMF spokesperson, Edward Gardner, also said that French unemployment, which currently stands at 11%, would continue to rise, despite President Hollande's vow to reduce it by the end of the year. 'It reflects in large part a general phenomenon in Europe that the recovery is slower in coming than we had expected.' The euro area's recovery almost came to a halt as the French economy unexpectedly shrank and German growth slowed.                                                                                                                          | 15 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 20 |
| The failure of the French economy to improve is in contrast to the overall success of the German economy and the stronger signs of recovery in the UK. President Hollande now faces difficult choices in reducing government spending to reach European budget deficit commitments. Furthermore, a recent announcement that VAT will rise, despite previous claims that there would be no significant tax rises, may cause further problems for the economy.                                                                                                             | 25 |

Source: News reports, 2013

7.

**Economic Growth and Development in Africa** Extract C (lines 6–8) argues that: 'Africa's recent growth has been driven by the increasing production and export of commodities but it remains far below the continent's potential for growth. Meaningful job creation is weak and is not tackling the high rates of poverty in many countries'.

Using the data in the extracts and your knowledge of economics, assess the view that sustained economic growth is likely to improve living standards in African countries.

[25 marks]

8.

**Extract C** (lines 13–14) states: 'Some argue that African governments should be doing more to improve the living standards of their citizens, rather than relying on foreign firms.'

Using the data in the extracts and your knowledge of economics, assess the view that to improve the living standards of their citizens, African nations should pursue policies to attract foreign direct investment (FDI).

[25 marks]

**10.**

**11. Economic growth and development in Africa**

**Extract C: Problems in Africa**

Many African countries should continue to enjoy strong economic growth and attract investment, especially in oil, natural gas and minerals. In some areas this has been accompanied by a decline in labour unrest. As a result of this economic change, living standards in Africa should improve. However, some parts, noticeably north and central Africa, continue to suffer from political instability and civil war. 1  
5

Africa's recent growth has been driven by the increasing production and export of commodities but it remains far below the continent's potential for growth. Meaningful job creation is weak and is not tackling the high rates of poverty in many countries. The informal sector is still large and opportunities remain limited for many seeking to enter the labour market. Continual pressure on labour markets from a steady stream of new entrants due to population growth has also meant that economic growth rates have not impacted strongly on poverty and inequality. 10

When governments squander valuable natural resources, geographic advantages do not always result in sound development, while land-locked African countries often struggle to trade with global economies. 15

Heavy dependence on minerals and agriculture has led to weak job creation in areas such as construction, transport and telecommunications. Political unrest continues to pose a significant threat to economic activity and a reliance on agriculture leaves many countries prone to weather-related shocks.

Source: news reports 2014

**12. Brazil: The Hot 'BRIC'**

**Extract D: News report – Is Brazil in trouble?**

In June 2013, more than a million citizens across Brazil took to the streets to protest against political corruption, poor healthcare, inadequate schools, substandard public transport and crumbling infrastructure. This is in a country which is reported to be spending \$13.3 billion to host the 2014 World Cup and \$18 billion to host the 2016 Olympic Games. 1  
5

In February 2014, the Brazilian currency, the real, is also making the headlines. In recent months it has collapsed against the pound. A year ago, visitors to Brazil would have got 2.70 real for £1 but now the rate stands at 3.61 to the pound. The fall in the value of the real is in response to a widening budget deficit and fears that the government's credit rating will be reduced. In response, the central bank has raised its base interest rate to 10.75%. 10

**13. In 2013 Ethiopia had a relatively high real GDP growth rate of 7% but only 42% of its population had access to improved water sources and life expectancy was only 63 years.**

Using examples to illustrate your answer, explain the difference between economic growth and economic development.

**[15 marks]**

**Extract C: How does Brazil compare with the UK?**

Selected data for the UK and Brazil (2013 unless otherwise stated)

|                                                      | UK                           | Brazil                        |
|------------------------------------------------------|------------------------------|-------------------------------|
| GDP (PPP)                                            | \$2.39 trillion              | \$2.42 trillion               |
| Real GDP per head (PPP)                              | \$36,600                     | \$12,100                      |
| Real GDP growth per capita (2000–2012)               | 1.14% per annum              | 2.27% per annum               |
| Average growth (2000–2012)                           | 1.72% per annum              | 3.41% per annum               |
| Human Development Index (HDI)                        | 0.875<br>(World ranking 26)  | 0.730<br>(World ranking 85)   |
| Unemployment                                         | 7.7%                         | 5.5%                          |
| Inflation                                            | 2.7%                         | 6.2%                          |
| Current account of the balance of payments (%GDP)    | –2.41%                       | –3.83%                        |
| Public sector debt (%GDP)                            | 91.1%                        | 59.2%                         |
| Budget balance (%GDP)                                | –7.4%                        | +1.6%                         |
| Industry %GDP                                        | 20.5%                        | 26.4%                         |
| Services %GDP                                        | 78.9%                        | 68.1%                         |
| Gini coefficient                                     | 34.0                         | 54.7                          |
| Share of income of the poorest 10% of the population | 2.1%                         | 0.8%                          |
| Share of income of the richest 10% of the population | 28.5%                        | 42.9%                         |
| Years of schooling                                   | 16 yrs                       | 14 yrs                        |
| Literacy rate                                        | 99%                          | 90.4%                         |
| Life expectancy                                      | 80.3 yrs                     | 73.0 yrs                      |
| Infant mortality rate                                | 4.5 per thousand live births | 19.8 per thousand live births |
| Population                                           | 63.4 million                 | 201.0 million                 |



|                        |       |       |
|------------------------|-------|-------|
| Population, % over 65  | 17.3% | 7.3%  |
| Population, % under 15 | 17.3% | 24.2% |

Source: The World Factbook 2013–14. Washington, DC: Central Intelligence Agency, 2013.

Note: PPP = purchasing power parity

15.

### Brazil: The Hot 'BRIC'

#### Extract B: Brazilian economy

Brazil has a mixed economy with abundant natural resources. It has been the world's largest producer of coffee for the last 100 years and it will shortly become one of the world's top ten oil producers. Brazil also has a strong manufacturing sector. For example, it is a likely source of the A4 paper you use in your printer, and its Bandeirante Corporation has long competed with aerospace giants as a world-class manufacturer in the niche market of short-haul commuter aircraft. By value, it ranks as the 23rd largest exporter in the world. However, the discovery of oil off the coast of Brazil has led to an appreciating currency; this makes life more difficult for domestic manufacturers. 1

Brazil is the world's fifth largest country by both population and total area. It has grown rapidly over the last thirty years and is now the world's seventh largest economy. It has the fourth largest car market in the world. From 1980 to 2011, Brazil's Human Development Index increased by 30.8%. However, Brazil is also well known for its inequality, and there is much rural and urban poverty. Many of its large cities contain crowded and deprived slum districts known as favelas. Brazil's health care system ranks 125th out of 190 countries. 5

Brazil currently dominates Foreign Direct Investment (FDI) into Latin America and in 2011 it attracted about one third of all the FDI into the region. FDI creates jobs and contributes to improvements in human capital as foreign companies often invest in their workforce. New investment has a multiplier effect and the resultant growth in GDP generates higher tax revenues for the Brazilian Government. However, there are also the environmental effects to consider. Many overseas companies that are located in Brazil export part of their output but some of their profits are sent abroad. 10

20

Source: News reports, October 2013



16.

### Extract A: Who are the BRICs?

The BRIC label was first coined by the investment bank Goldman Sachs and refers to a group of four large developing countries (Brazil, Russia, India and China), distinguished from other promising emerging markets by their potential to rank among the world's largest and most influential economies by the mid-21st century. Their potential is largely due to their natural resources, the size and structure of their population, their attitudes to investment and trade, and their capacity for technological progress. The four BRIC economies have a combined population of over 2.8 billion, about 40% of the world's population. They also produce more than a quarter of the world's output.

Analysts have suggested that, to enable a country to realise its potential for growth, there is a number of conditions that need to be met. These include:

- a suitable level of human capital, for example, in relation to education, inequality and life expectancy
- a stable macroeconomic environment, for example, as reflected in indicators of inflation, growth and government borrowing
- access to current technologies such as the Internet and mobile communications
- a stable political environment including the rule of law and the absence of widespread corruption.

Source: News reports, October 2013

17.

The UK has seen significant changes in its pattern of trade with the rest of the world in terms of what we trade and with whom. The UK's current account deficit widened from £29.1bn in 2011 to £100.2bn in 2015. The deficit in 2015 was 5.4% of GDP, the largest annual deficit as a percentage of GDP since records began in 1948.

Explain the possible reasons for changes in the pattern of trade between the UK and the rest of the world.

[15 marks]

18.

**Extract C** (lines 2–3) states 'More recently, India has begun to use more market-based strategies to help its development, including liberalising trade and privatisation.'

Using the data in the extracts and your knowledge of economics, evaluate the view that greater use of market-based strategies is the best way to improve the economic development of India.

[25 marks]

19.

**Extract B** (lines 17–19) states 'India still protects its economy with anti-dumping measures and export subsidies that are designed to promote economic growth.'

With the help of a diagram, explain how export subsidies may help promote economic growth in India.

[9 marks]



20.

An African Development Bank report showed that Angola received more direct foreign investment than any other African country in 2015. Angola is a less economically developed country (LEDC) that has had fluctuating economic growth in the past. Despite having suffered from a long civil war which ended in 2002, many multinational corporations (MNCs) are now investing heavily in Angola's growing economy.

Evaluate the view that MNCs play a positive role in the development of LEDCs.

[25 marks]

21.

**Extract F** (lines 17–19) states: 'Some argue that many developed countries that now champion free trade, only achieved economic prosperity through protectionist policies.'

Using the data in the extracts and your knowledge of economics, assess the view that developing economies, such as Brazil and China, should pursue protectionist policies to achieve greater economic development.

[25 marks]

22.

An African Development Bank report showed that Angola received more direct foreign investment than any other African country in 2015. Angola is a less economically developed country (LEDC) that has had fluctuating economic growth in the past. Despite having suffered from a long civil war which ended in 2002, many multinational corporations (MNCs) are now investing heavily in Angola's growing economy.

Explain the main barriers that LEDCs face when attempting to achieve stable, long-term economic growth.

[15 marks]

**23.**

The table below contains data for GDP per capita and the Human Development Index (HDI) for four countries in a given year.

|           | GDP per capita<br>(\$) | HDI  |
|-----------|------------------------|------|
| Country 1 | 32 860                 | 0.45 |
| Country 2 | 29 440                 | 0.77 |
| Country 3 | 23 230                 | 0.51 |
| Country 4 | 22 650                 | 0.92 |

Which one of the following statements is most consistent with the data?

- A** Country 1 has the highest living standards of the four countries
- B** Country 2 has a higher rate of growth than countries 3 and 4
- C** Country 3 is the least developed of the four countries
- D** Country 4 has the highest life expectancy and literacy rates

☐☐☐☐

[1 mark]

**24.**

### Essay 3

Over the past 20 years, the growth of world trade has averaged 6% per year, twice as fast as the growth in world output. As countries become ever more interconnected, they experience both economic opportunities and threats.

Evaluate the view that international trade always benefits nations.

[25 marks]

25.

The table below shows the value of the UK's Human Development Index (HDI) over the period 2015 to 2019.

| Year         | 2015  | 2016  | 2017  | 2018  | 2019  |
|--------------|-------|-------|-------|-------|-------|
| UK HDI Value | 0.916 | 0.918 | 0.919 | 0.920 | 0.932 |

All other things being equal, which one of the following is most likely to explain the trend shown in the table above?

A A fall in the sterling exchange rate

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B Falling emissions of greenhouse gases

☐

C Increasing life expectancy at birth

☐

D Reductions in income inequality

☐

[1 mark]